

Euronet Worldwide, Inc.

Priced for terminal decline, guiding to double-digit growth: one segment is doing all the damage

EEFT, NASDAQ Global Select

OVERWEIGHT

Price (20 Aug 2026): **\$69.38**

Price Target (Dec-27): **\$92.00**

INVESTMENT THESIS

We rate Euronet Overweight with a Dec-27 price target of \$92, ~33% above the 20 August close of \$69.38. The stock trades at ~6.4x FY26E adjusted EPS of \$10.73 and 4.85x TTM EV/EBITDA, within 11% of its 52-week low - a multiple structure the market reserves for terminal decline. The P&L is not declining; adjusted EPS grew 12% in FY25 and 10% in Q2'26, and management reiterated 10-15% FY26 adjusted EPS growth on the Q2 call.

The damage is concentrated in one segment. Cross-Border Payments (40% of revenue) saw Q2 revenue fall 4% and operating income fall 34% against the first annual decline in the U.S. outbound remittance market in over a decade. That headwind is real and partly structural. But Payments Infrastructure (+11%) and epay (+5%) both grew, digital accelerators compounded 35% YTD to 26% of revenue, and the Q2'25 base carried non-recurring Pakistan fee and FX benefits that do not repeat.

- Two of three segments grew in Q2'26; Cross-Border alone explains the consolidated operating income decline.
- \$375mm repurchased across Q4'25-Q2'26 at a ~6x multiple, with a further 400-500k shares guided by year-end.
- Honest offset: GAAP operating income fell 14% YoY in Q2'26 and TTM GAAP EPS of \$6.28 sits ~41% below adjusted.

COMPANY OVERVIEW

Euronet is a Leawood, Kansas-based global electronic payments company running three segments, two of which were renamed in 2026 - EFT Processing to Payments Infrastructure, Money Transfer to Cross-Border Payments - a deliberate signal of the pivot away from a cash-and-ATM identity. On Q2'26 revenue of \$1,108.4mm the split was Payments Infrastructure \$377.1mm (34%), epay \$294.0mm (27%) and Cross-Border \$439.6mm (40%).

Payments Infrastructure operates 57,814 installed ATMs plus DCC, card issuing/acquiring and the Ren software platform, into which CoreCard (acquired 2025, ~\$248-260mm in stock) has been slotted as the credit-issuing anchor. epay distributes prepaid digital content across ~739,000 POS terminals in 66 countries. Cross-Border spans Ria, Xe and Dandelion across ~651,000 locations in 207 countries. Revenue by geography is not disclosed on a consistent basis.

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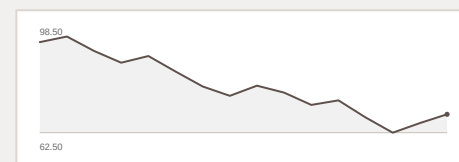
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PRICE PERFORMANCE



12-month price path (\$) - illustrative rendering of the disclosed 52-week range

COMPANY DATA

Shares O/S (mm)	37.40
Market Cap (\$bn)	2.60
52-Week Range	\$62.50 - \$98.52
Avg. Daily Volume	587k
Public Float (mm)	34.5
Beta (5Y)	0.83
EV (\$bn, agg. basis)	3.19
Book Value / Share	\$32.89
ROE / ROIC	22.4% / 17.3%
Dividend	None
Fiscal Year End	December

KEY METRICS / ESTIMATES

(\$mm, except EPS)	FY24A	FY25A	FY26E	FY27E
Revenue (\$mm)	3,990	4,244	4,470	4,680
Adj. EBITDA (\$mm)	679	744	800	856
Adj. EPS	\$8.61	\$9.61	\$10.73	\$12.02
GAAP Dil. EPS	\$6.45	\$6.84	-	-
P/E (adj.)	8.1x	7.2x	6.5x	5.8x

FY24A/FY25A as reported. FY26E revenue and adj. EPS are published consensus; FY26E EBITDA is the May-26 Investor Day framing. FY27E is analyst-derived, not published consensus (revenue +4.7%, adj. EPS +12%, EBITDA +7%). P/E at the \$69.38 close.

Q2 2026 RESULTS

Q2'26 revenue of \$1,108.4mm rose 3% YoY (+2% cc) and adjusted EPS of \$2.82 rose 10%, keeping the company inside its own 10-15% algorithm. Below that line the quarter was untidy: GAAP operating income fell 14% to \$137.1mm, adjusted EBITDA fell 6% to \$192.8mm, net income fell 21% to \$77.4mm and GAAP diluted EPS fell 25% to \$1.71. The print was characterised across the trade press as a miss on revenue and GAAP metrics and the shares declined on the day. The gap between a +10% adjusted EPS and a -25% GAAP EPS is the single most important tension in this story, and we do not think it should be waved away.

The half-year arithmetic is more flattering than the quarter. H1'26 revenue of \$2,120.2mm was up roughly 7% and H1 adjusted EPS of \$4.40 was up ~19%, representing ~41% of the FY26 consensus of \$10.73 versus ~38% phasing in FY25 - consistent with management's comment that earnings will be more evenly distributed across quarters. FY26 guidance of 10-15% adjusted EPS growth, originally set with Q4'25 results in February, was reiterated on the Q2 call; on the FY25 base of \$9.61 that implies \$10.57-\$11.05. May's Investor Day framed FY26 at ~\$4.5bn of revenue and ~\$800mm of EBITDA, an ~18% margin described as the best since 2019.

Capital allocation continued to work for shareholders. The company repurchased \$225mm in Q4'25, \$100mm in Q1'26 and \$50mm in Q2'26 (~705k shares at ~\$71/sh), \$375mm across three quarters, with a further 400,000-500,000 shares guided for retirement by year-end 2026. Funding is not free: total debt rose to \$2,654.0mm at 30 June from \$2,021.8mm at year-end 2025, and the EUR 700mm bond settlement added \$1.3mm of Q2 interest expense with ~\$6mm expected over the remainder of 2026.

FINANCIAL SUMMARY

Euronet Worldwide, Inc. -- Summary Financials

\$ in millions, except per-share data	FY24A	FY25A	TTM Q2'26	FY26E	FY27E
Revenue	3,989.8	4,244.2	4,375	4,470	4,680
% growth	8.2%	6.4%	-	5.4%	4.7%
Payments Infrastructure	1,161.2	1,283.7	-	-	-
epay	1,150.5	1,187.6	-	-	-
Cross-Border Payments	1,686.5	1,782.4	-	-	-
Operating income (GAAP)	503.2	529.8	505.1	-	-
Operating margin	12.6%	12.5%	11.6%	-	-
Adjusted EBITDA	678.5	743.7	-	800	856
Adj. EBITDA margin	17.0%	17.5%	-	17.9%	18.3%
Net income (GAAP)	306.0	309.5	288.4	-	-
Diluted EPS (GAAP)	\$6.45	\$6.84	\$6.28	-	-
Adjusted EPS	\$8.61	\$9.61	-	\$10.73	\$12.02
% growth	-	11.6%	-	11.6%	12.0%
P/E on adj. EPS (@ \$69.38)	8.1x	7.2x	-	6.5x	5.8x
Total debt	-	2,021.8	2,654.0	-	-
Total cash (as reported)	-	1,690.6	2,220.7	-	-
Net debt ex-ATM cash	-	981	-	-	-

Source: company filings, press releases and earnings calls; third-party market-data aggregators; Akul Veauli Securities LLC estimates. TTM adjusted EBITDA is deliberately omitted: the available aggregator computation (\$657.5mm) is not on the same basis as company-defined Adjusted EBITDA (\$743.7mm in FY25) and the two should not be mixed. FY26E revenue and adjusted EPS are published consensus; FY26E EBITDA is the May 2026 Investor Day framing. FY27E figures are analyst-derived, not published consensus. Items marked "-" were not disclosed or are not applicable (e.g., company does not guide GAAP or segment-level figures).

SEGMENT DETAIL

Payments Infrastructure grew revenue 11% (+10% cc) to \$377.1mm, with operating income up 2% to \$86.1mm and adjusted EBITDA up 7% to \$117.9mm. The ATM estate itself is static - 57,814 installed and 57,071 active, each +1% YoY - so growth is carried by DCC, outsourcing wins, merchant services and the Ren/CoreCard software stack rather than by cash-withdrawal volume. That is the bridge from ATM company to payments infrastructure company, and it is the reason we are willing to underwrite the segment despite a maturing cash base. Management flagged U.S.-to-Europe airline bookings running 5-8% below the peak 2025 window, partly because the FIFA World Cup redirected European travel to the U.S. during the quarter; some improvement was seen in Q3 and normalisation is expected post-tournament.

epay grew revenue 5% (+4% cc) to \$294.0mm with operating income up 5% to \$32.8mm. Transactions fell 11% to 986mm across ~739,000 POS terminals (+2%) - a deliberate mix shift out of low-value airtime top-ups into higher-value digital and gaming content. The direct-to-publisher agreement with Capcom in Japan and pre-order momentum around Grand Theft Auto VI show where the segment is pointing.

Cross-Border Payments is where the thesis is contested. Revenue fell 4% (-5% cc) to \$439.6mm, but operating income fell 34% to \$43.3mm and adjusted EBITDA fell 31% to \$49.7mm - operating leverage running hard in reverse on 40% of group revenue. Two drivers: the first annual decline in the broader U.S. outbound remittance market in over a decade, with management citing Brookings work indicating U.S. net migration was near zero or negative across calendar 2025 for the first time in at least half a century; and non-recurring Pakistan fee rebates and FX benefits inflating the Q2'25 base. U.S.-to-Mexico was the most affected corridor.

Underneath the segment optics the digital business compounds. Digital transactions rose 33% to 7.9mm, Ria Digital revenue rose 35%, and the digital accelerators - Ria Digital, Xe, Dandelion and CoreCard/Ren - grew 31% in the quarter and 35% year-to-date to reach 26% of total company revenue, against the 23% long-term growth rate framed at the May Investor Day and a target of ~30% of revenue by 2028 including merchant processing. Dandelion added Mastercard Move plus five further partners going live in Q4'26; the Unibanca (Peru) win displaced an incumbent processor across nine banks. Management also reported growth in Mexico remittance volumes over the four months to July, and is leaning into digital partly because customers avoid the 1% U.S. remittance excise tax there, adding ~\$3mm of incremental digital marketing spend in Q2.

Q2 2026 SEGMENT SUMMARY

Euronet Worldwide -- Q2 2026 by segment

\$ in millions	Revenue	YoY	Op. income	YoY	Adj. EBITDA	YoY
Payments Infrastructure	377.1	+11%	86.1	+2%	117.9	+7%
epay	294.0	+5%	32.8	+5%	34.4	+5%
Cross-Border Payments	439.6	-4%	43.3	-34%	49.7	-31%
Consolidated	1,108.4	+3%	137.1	-14%	192.8	-6%

Source: company Q2 2026 results release. Constant-currency growth: Payments Infrastructure +10%, epay +4%, Cross-Border -5%, consolidated revenue +2%, consolidated adj. EBITDA -7%. Operating metrics: 57,814 ATMs installed (+1%); ~739,000 epay POS terminals (+2%), transactions 986mm (-11%); ~651,000 Cross-Border locations (+3%), digital transactions 7.9mm (+33%). Digital accelerators grew 31% in the quarter and reached 26% of total company revenue.

VALUATION & PRICE TARGET

Our Dec-27 price target of \$92 is a 40/20/40 blend of three methods. (A) 40% on 7.0x FY27E adjusted EPS of \$12.02, giving \$84.14; the target multiple sits at the upper end of the Global Payments / Fiserv forward cluster of 6.2-6.9x, i.e. EEFT in line with large-cap payments peers with no premium for its faster growth. (B) 20% on 5.5x FY27E adjusted EBITDA of \$856mm, less net debt of \$590mm across 37.0mm shares, giving \$111.30; 5.5x is a modest re-rate from ~4.9x today and still a 33% discount to the 8.28x peer median. (C) 40% on the average of published consensus targets (\$87.50, \$86.80, \$96.00), or \$90.10. The blend is \$91.96, rounded to \$92, implying ~33% total return with no dividend.

We deliberately under-weight Method B because its output is highly sensitive to the net-debt input. Substituting a conservative net debt of \$1.28bn - assuming ~38% of reported cash is ATM or settlement-committed, the FY25 proportion - cuts Method B to \$92.7 and the blend to \$87.3. Substituting FY27E EPS of \$12.31 (the 14.7% consensus growth rate rather than our 12%) lifts Method A to \$86.2 and the blend to \$92.8. The target is robust across an \$87-93 range; \$92 is the point estimate, and the Overweight rating does not flip within that band (+25.8% implied return at the low end against a >+15% threshold).

On peers, two qualifications are owed to the reader. First, on forward P/E, EEFT at ~6.4x is essentially in line with Global Payments (6.23x) and Fiserv (6.94x) and above Western Union (4.97x) - the deep-discount claim is not supported against the distressed large-cap cohort, though it is a >50% discount to Corpay at 13.95x. The whole complex is de-rated. The genuine dislocation is on EV/EBITDA (4.85x versus an 8.28x peer median) and EV/Sales (0.73x versus 3.40x). Second, both of those are flattered by an aggregator EV that nets essentially all balance-sheet cash - a large portion of which is ATM vault cash and settlement float, operationally committed and unavailable to equity holders. Adding back ~\$650mm of ATM cash lifts EV/EBITDA to roughly 5.8x: still a clear discount to GPN, FI and CPAY, but roughly at parity with WU.

The second offset is earnings quality. TTM GAAP diluted EPS of \$6.28 sits ~41% below the ~\$10.7 adjusted figure; on GAAP the trailing multiple is 11.0x - cheap, but not extraordinary, and close to Fiserv's 9.85x. Part of the market's discount is a straightforward refusal to pay for the adjusted number. An analyst who rejects the adjusted basis, or who assumes remittance volumes deteriorate further, lands at Neutral rather than Overweight; that is a respectable position and we hold ours with the risk stated. We note too that Method C borrows credibility from consensus targets that have themselves been cut this year (KBW \$85 to \$75 in February, Simply Wall St \$102 to \$94), even as Needham raised to \$90 in July. FY27 estimates throughout this note are analyst-derived, not published consensus, which was paywalled at every source checked.

PEER COMPARISON

Payments peer group -- trading multiples

Company (ticker)	Price	Mkt cap (\$bn)	Trailing P/E	Fwd P/E	EV/EBITDA	EV/Sales
Euronet Worldwide (EEFT)	\$69.38	2.60	11.0x	6.2-6.5x	4.85x	0.73x
Global Payments (GPN)	\$92.28	24.42	47.4x	6.23x	9.49x	4.17x
Fiserv (FI)	\$51.38	27.32	9.85x	6.94x	7.07x	2.62x
Western Union (WU)	\$7.20	2.25	5.79x	4.97x	4.83x	1.00x
Corpay (CPAY)	\$412.00	27.05	24.8x	13.95x	12.44x	6.93x
Peer median (4)	-	-	17.3x	6.59x	8.28x	3.40x

Source: third-party market-data aggregators, 19-20 August 2026. EEFT EV/EBITDA and EV/Sales are computed off an aggregator enterprise value of \$3.19bn that nets essentially all balance-sheet cash, including ATM vault cash and settlement float; adding back ~\$650mm of ATM cash lifts EEFT EV/EBITDA to roughly 5.8x. Consensus price targets: \$87.50 (8 analysts), \$86.80 (7 analysts) and \$96.00 (7 analysts), with a range of \$75 to \$133.

UPSIDE RISKS

Developments that could drive the shares above our price target include the following:

- Multiple re-rating. Each turn of forward multiple is worth ~\$12/share on FY27E adjusted EPS; 9.0x implies ~\$108, and a move to Corpay's 14x would roughly double the stock.
- Remittance stabilisation. Mexico volumes grew over the four months to July, and the inflated Q2'25 Pakistan comp normalises from H2'26, mechanically easing the YoY optics.
- Digital mix compounding ahead of plan - 35% growth YTD against a 23% long-term algorithm, with the ~30%-of-revenue-by-2028 target carrying higher incremental margins.
- European travel normalisation post-FIFA World Cup, a direct tailwind to the highest-margin line in the group (cross-border ATM withdrawals and DCC) into 2027.
- Ren/CoreCard software flywheel. CoreCard is ahead of its 18-month signing plan with five to six deals in, and software revenue is recurring, higher-multiple and decoupled from cash usage.
- Buyback accretion at a ~6x multiple, plus M&A optionality from PaynoPain (Spain/Portugal, closing Q3'26) and CrediaBank merchant acquiring (~20,000 merchants).
- Strategic interest. A \$2.6bn market cap on \$4.4bn of revenue with three separable, individually strategic assets is a plausible activist or breakup candidate.

DOWNSIDE RISKS

Developments that could drive the shares below our price target include the following:

- U.S. immigration policy as a structural rather than cyclical headwind. Near-zero net migration shrinks the remitting population itself and does not annualise away; the 1% excise tax is a further drag on the agent channel.
- Reverse operating leverage in Cross-Border. A 4% revenue decline produced a 34% operating income decline on 40% of group revenue; modest further erosion has an outsized earnings effect.
- Structural cash decline. The ATM estate grew 1% and epay transactions fell 11%; if DCC pricing is regulated or competed away, Payments Infrastructure economics deteriorate quickly.
- Earnings quality. GAAP operating income fell 14% in Q2'26 and 4% in Q1'26 even as adjusted EPS rose 10% and 40%; the market may be right to refuse the adjusted multiple.
- Travel demand is discretionary. European inbound tourism drives the most profitable revenue stream and is exposed to consumer, currency and geopolitical shocks.
- Leverage and interest expense. Total debt rose to \$2,654.0mm from \$2,021.8mm, debt/equity is 2.25x, and reported net debt understates true leverage because much cash is ATM or settlement float.
- FX translation. A majority of revenue is non-USD and Europe-weighted, and guidance is stated explicitly excluding FX.
- Thin, divided coverage. Seven to eight analysts, targets from \$75 to \$133 including one Strong Sell, and 587-752k average daily volume on a \$2.6bn cap.
- Integration risk across three acquisitions in roughly twelve months (CoreCard, CrediaBank merchant acquiring, PaynoPain) while the core remittance business contracts.

ANALYST CERTIFICATION

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Forward-year estimates labelled FY27E are analyst-derived rather than published consensus, which was not available on an unrestricted basis at the time of writing. Figures that could not be verified against a public source are marked "-" rather than estimated. This document does not reflect the compliance, supervisory, or conflicts-of-interest procedures maintained by a registered broker-dealer.

RATING DEFINITIONS

Overweight: expected total return of more than +15% over the rating horizon. Neutral: expected total return of -10% to +15%. Underweight: expected total return of less than -10%. The rating applied in this note follows mechanically from the derived price target relative to the last closing price, with no dividend assumed. These are generic sell-side rating conventions, not a registered firm's published rating scale.

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